STRATEGIC BUSINESS MANAGEMENT AND LEADERSHIP

Suggested Answers
November-December 2024

Answer to the Question# 1(a)(i):

Challenges Farmers in Bangladesh Face:

1. Lack of Access to Credit: Farmers often struggle to get loans due to stringent banking requirements and lack of collateral.
2. Unstable Market Prices: Prices of agricultural products fluctuate frequently, making it difficult for farmers to predict their income and plan for the future.
3. Limited Infrastructure: Poor storage facilities and inadequate transportation infrastructure hinder farmers from preserving and selling their produce efficiently.
4. Dependency on Middlemen: Farmers often rely on intermediaries to sell their produce, leading to reduced profits as middlemen take a significant cut.
5. Natural Disasters: Floods, cyclones, and droughts frequently impact agricultural productivity, causing significant losses.

Answer to the Question# 1(a)(ii):

Government Initiatives to Alleviate Syndicate Impact:

1. **Strengthening Regulatory Bodies:** Empowering organizations like the Bangladesh Competition Commission to actively monitor and dismantle syndicates.
2. **Legal Reforms:** Implementing strict laws and penalties against price-fixing, hoarding, and other unethical practices.
3. **Enhanced Market Surveillance:** Utilizing technology to monitor market transactions and detect irregularities in real-time.
4. **Support for Cooperatives:** Encouraging and supporting farmers to form cooperatives, allowing them to bypass middlemen and directly access markets.
5. **Subsidies and Incentives:** Providing subsidies and incentives to farmers to reduce production costs and increase their bargaining power against syndicates.

Answer to the Question# 1(a)(iii):

Sustainability of "Youth Against Syndicate" (YAS) Initiative: While the YAS initiative shows promise by directly connecting farmers with consumers and bypassing middlemen, its long-term sustainability depends on several factors:

- **Scalability:** The ability to scale the model to serve a larger population without compromising quality and efficiency.
- **Infrastructure Support:** Developing robust logistics and storage facilities to support the direct selling model.
- **Continuous Community Engagement:** Ensuring ongoing community support and participation to maintain momentum.

Sustainable Solution to Reduce Syndicate Problem: A comprehensive approach involving both technological innovation and policy reforms can create a lasting impact. One sustainable solution could be the establishment of a **digital marketplace platform** for farmers. Here's how it can work:

1. **Direct Connection:** Farmers can list their produce on the platform, allowing consumers to buy directly, ensuring fair prices for both parties.
2. **Transparent Pricing:** Real-time price updates based on supply and demand, preventing price manipulation by syndicates.
3. **Supply Chain Management:** Efficient tracking of produce from farm to table, reducing wastage and ensuring quality.
4. **Financial Services:** Integration with financial institutions to provide farmers with access to credit and insurance, ensuring financial stability.
5. **Government Support:** Collaboration with government agencies to regulate and support the platform, ensuring fair practices and sustainability.

By leveraging technology and implementing supportive policies, it's possible to break the hold of syndicates and create a more equitable marketplace for both farmers and consumers.

Answer to the Question# 1(b)(i):

Blue Ocean Strategy and EcoPack Solutions' Differentiation:

Definition of Blue Ocean Strategy: The Blue Ocean Strategy is a business approach that seeks to create a new, uncontested market space, making the competition irrelevant. Instead of competing in existing markets (red oceans), companies implementing this strategy focus on innovation and value creation to unlock new demand and opportunities. This often involves differentiation and cost leadership to attract a broad range of customers and create value.

EcoPack Solutions' Differentiation: EcoPack Solutions sets itself apart in the packaging market by:

1. **Eco-Friendly Materials:** Offering 100% biodegradable and compostable packaging made from innovative natural materials such as plant fibers, seaweed, and mushroom-based packaging.
2. **Advanced Technology:** Utilizing cutting-edge material science to ensure the packaging is durable, lightweight, and cost-effective.
3. **Affordability:** Keeping prices competitive by leveraging economies of scale, reducing material waste, and forming strategic partnerships with local farmers and suppliers.
4. **Targeted Market Focus:** Concentrating on small and medium-sized enterprises (SMEs) in the food and beauty sectors, which align with the values of eco-conscious consumers.
5. **Scalability and Customization:** Providing customizable and scalable packaging solutions to meet diverse business needs.
6. **Sustainability:** Aligning with global sustainability goals and benefiting from government support, such as the ban on single-use plastics by 2030.

Answer to the Question# 1(b)(ii):

Effectiveness of Adopting Both Differentiation and Cost-Effective Models:

Adopting both differentiation and a cost-effective model simultaneously can be challenging but achievable. Here are a few points to consider:

Advantages:

1. Broader Market Appeal: By offering unique and superior products at competitive prices, businesses can attract a wider customer base, including price-sensitive and quality-conscious customers.
2. Enhanced Value Proposition: Combining differentiation with cost-effectiveness provides a compelling value proposition, making it difficult for competitors to match.
3. Sustainable Competitive Advantage: Innovation in product features and cost leadership can lead to sustained competitive advantages in the market.

Challenges:

1. Balancing Quality and Cost: Ensuring high-quality products while keeping costs low requires efficient operations, strategic partnerships, and continuous innovation.
2. Resource Allocation: Balancing investment in differentiation (e.g., R&D, technology) with cost-control measures can be challenging and requires effective resource management.
3. Market Perception: Successfully communicating the dual value proposition of differentiation and cost-effectiveness to customers is crucial for market acceptance and brand positioning.

EcoPack Solutions' approach to combining advanced eco-friendly materials, innovative technology, and strategic cost management showcases that it is possible to achieve differentiation and cost leadership simultaneously. By focusing on sustainability, innovation, and efficient operations, EcoPack Solutions aims to revolutionize the packaging industry while meeting the needs of environmentally conscious consumers and businesses.

Answer to the Question# 2(a)(i):

Position of Key Stakeholders in the Proposal to Outsource Pump Manufacturing

1. **Investors:**
   - **Position:** Strongly support outsourcing to improve financial performance.
   - **Reasons:** They hold 60% of the shares and have a vested interest in reducing costs and increasing profitability. Outsourcing promises a 40% cost reduction, which aligns with their financial goals.
2. **Structural Family (Management and Employees):**
   - **Position:** Mixed feelings with concerns about job losses and maintaining quality.
   - **Reasons:** While management may recognize the financial benefits, they also have a commitment to their employees and the community. Family members employed in the business might oppose due to potential job losses and the impact on the local economy.
3. **Employees in Bangladesh:**
   - **Position:** Oppose outsourcing.
   - **Reasons:** Job security is at stake, with 140 employees at risk of losing their jobs. There are also concerns about the socio-economic impact on their families and the community.
4. **Clients in Europe:**
   - **Position:** Neutral but concerned about quality and service.
   - **Reasons:** Clients expect high standards in design, manufacturing, and quick response times. They may worry about potential disruptions or changes in quality with a new supplier.
5. **Polish Manufacturing Firm:**
   - **Position:** Strongly support the proposal.
   - **Reasons:** Opportunity to gain a significant client and expand their business. They have an excellent manufacturing reputation and are likely to meet quality standards.
6. **Local Community in Bangladesh:**
   - **Position:** Oppose outsourcing.
   - **Reasons:** The closure of the manufacturing plant will negatively impact the local economy and lead to job losses.

Answer to the Question# 2(a)(ii):

Implications for the Sustainability of SEL's Differentiation Strategy Using an Outside Supplier

1. Maintaining Design and Manufacturing Excellence:

- **Challenge:** Ensuring that the Polish firm adheres to SEL's high standards for design and manufacturing.
- **Solution:** Implementing strict quality control measures and regular audits to ensure that the Polish firm meets the required specifications.

2. Technical Specifications:

- **Challenge:** Communicating complex technical specifications effectively to the Polish firm.
- **Solution:** Establishing clear communication channels and collaborative tools to facilitate knowledge transfer and ensure that specifications are understood and implemented correctly.

3. Speed and Flexibility:

- **Challenge:** Maintaining the speed and flexibility in responding to customer needs with an outsourced supplier.
- **Solution:** Developing a robust supply chain management system and contingency plans to address any delays or disruptions quickly.

4. Brand Reputation:

- **Challenge:** Potential damage to SEL's reputation if the outsourced products do not meet customer expectations.
- **Solution:** Building strong relationships with the Polish firm and involving them in SEL's brand vision and quality commitments.

5. Cost Savings:

- **Advantage:** Significant cost reduction (40%) in manufacturing, which can be reinvested in innovation and customer service.
- **Solution:** Using the savings to further differentiate SEL's products and services, enhancing the overall value proposition.

6. Job Losses and Community Impact:

- **Challenge:** Negative impact on the local community and loss of jobs in Bangladesh.
- **Solution:** Providing support and retraining programs for affected employees and exploring opportunities to develop other business units within Bangladesh.

Conclusion:
Outsourcing pump manufacturing to the Polish firm offers significant cost-saving benefits and the potential to improve financial performance. However, it poses challenges to SEL's differentiation strategy, particularly in maintaining quality, speed, and flexibility. By implementing stringent quality control measures, clear communication, and robust supply chain management, SEL can mitigate these challenges and sustain its competitive edge. Additionally, addressing the socio-economic impact on the local community through support programs can help maintain goodwill and corporate responsibility.

Answer to the Question# 2(b):

Report on Leadership Approaches for Mr. Farooq Jahid

Introduction:

Mr. Farooq Jahid has recently taken over as Managing Director of Western Pharmaceuticals Ltd. The firm has experienced a decline in revenues and operational performance over the past several years. A bureaucratic management style employed by his predecessor has contributed to low employee morale. With his extensive experience in the pharmaceutical sector and strong people skills, Mr. Jahid has the opportunity to rejuvenate the organization through effective leadership.

Critical Assessment of Leadership Approaches:

1. Transformational Leadership:

- **Overview:** This approach focuses on inspiring and motivating employees to achieve their full potential and exceed expectations. It emphasizes vision, encouragement, and creating a sense of purpose.
- **Benefits:**
    - Enhances employee engagement and morale.
    - Fosters innovation and continuous improvement.
    - Builds a positive organizational culture.
- **Challenges:**
    - Requires consistent and genuine communication.
    - Demands significant time and effort to build trust and rapport.

2. Servant Leadership:

- **Overview:** This approach prioritizes the needs of employees and empowers them to perform at their best. It emphasizes empathy, listening, and support.
- **Benefits:**
    - Builds strong, trusting relationships with employees.
    - Encourages a collaborative and inclusive work environment.
    - Increases job satisfaction and retention.
- **Challenges:**
    - May be perceived as too lenient if not balanced with accountability.
    - Requires a high level of emotional intelligence.

3. Situational Leadership:

- **Overview:** This approach adapts leadership style based on the situation and the readiness of employees. It involves directing, coaching, supporting, and delegating as needed.
- **Benefits:**

- Flexibility to address diverse challenges and employee needs.
- Enhances the effectiveness of leadership interventions.
- Promotes growth and development of employees.

- **Challenges:**
  - Requires the ability to accurately assess situations and adjust styles accordingly.
  - Can be complex to implement consistently.

4. Democratic Leadership:

- **Overview:** This approach involves participative decision-making, where employees are encouraged to share their ideas and opinions. It emphasizes collaboration and collective problem-solving.
- **Benefits:**
  - Encourages creativity and diverse perspectives.
  - Increases employee buy-in and commitment.
  - Fosters a sense of ownership and accountability.
- **Challenges:**
  - Decision-making can be time-consuming.
  - Potential for conflicts if not managed effectively.

Recommended Leadership Style(s):

Based on the current challenges and opportunities at Western Pharmaceuticals Ltd., the following leadership styles are recommended for Mr. Farooq Jahid:

1. Transformational Leadership:

- **Rationale:** Given the need to improve employee morale, inspire innovation, and drive organizational change, transformational leadership will be instrumental in creating a positive and dynamic work environment. By clearly communicating his vision and encouraging employees to strive for excellence, Mr. Jahid can foster a culture of continuous improvement.

2. Servant Leadership:

- **Rationale:** To build strong relationships with employees and address their needs, servant leadership will be crucial. By prioritizing empathy, listening, and support, Mr. Jahid can enhance job satisfaction and loyalty, which is especially important given the experienced workforce at Western Pharmaceuticals Ltd.

3. Situational Leadership:

- **Rationale:** Given the diverse challenges and varying levels of employee readiness, situational leadership will enable Mr. Jahid to adapt his approach as needed. By assessing situations and adjusting his leadership style, he can effectively address specific challenges and support employee development.

Conclusion:

By adopting a combination of transformational, servant, and situational leadership approaches, Mr. Farooq Jahid can effectively address the challenges faced by Western Pharmaceuticals Ltd. These leadership styles will help improve employee morale, drive innovation, and create a positive and engaging work environment. With his strong people skills and commitment to empowering employees, Mr. Jahid is well-positioned to lead the organization towards a successful and sustainable future.

Answer to the Question# 3(a):

Here are some effective strategies to increase hospital revenue per cabin by optimizing the pattern of stay:

1. Reduce Average Length of Stay (ALOS):

- **Enhanced Pre-Surgical Assessment:** Implement thorough pre-surgical assessments to ensure patients are well-prepared, reducing the need for extended pre-surgery stays.
- **Post-Surgery Care Plans:** Develop detailed post-surgery care plans that enable patients to recover quickly and safely at home, thereby reducing post-surgery stays.

2. Increase Turnover Rate:

- **Efficient Discharge Process:** Streamline the discharge process to reduce delays and ensure cabins are available for new patients as soon as possible.
- **Use of Day-Case Surgery:** Encourage the use of day-case surgery where appropriate, allowing patients to return home the same day, thus freeing up cabins for other patients.

3. Optimize Scheduling and Resource Allocation:

- **Dynamic Scheduling:** Implement dynamic scheduling systems to optimize the use of cabins and ensure there are no gaps between patient stays.
- **Resource Allocation:** Ensure that all necessary resources (e.g., nursing staff, medical equipment) are available to support the efficient use of cabins and minimize downtime.

4. Diversify Services Offered:

- **Add New Procedures:** Introduce new procedures and treatments that can be performed within the same or shorter time frames, increasing the utilization of cabins.
- **Telemedicine Services:** Offer telemedicine follow-ups for stable patients, allowing them to leave the hospital sooner while still receiving necessary care.

5. Enhance Patient Experience:

- **Personalized Care Plans:** Develop personalized care plans to improve patient outcomes and satisfaction, leading to quicker recoveries and more efficient use of cabins.
- **Patient Education:** Provide comprehensive patient education on post-surgery care to ensure smooth transitions from hospital to home.

6. Implement Revenue-Generating Programs:

- **Wellness Packages:** Create wellness packages and preventive care programs that attract patients for non-emergency services, increasing cabin occupancy.
- **Rehabilitation Services:** Offer specialized rehabilitation services that can be conducted within a shorter time frame, freeing up cabins for other patients.

7. Collaborate with Insurance Providers:

- **Negotiated Rates:** Collaborate with insurance providers to negotiate favorable rates for procedures and stays, ensuring a steady flow of patients covered by insurance.
- **Bundled Payments:** Explore bundled payment models for specific procedures, where a single payment covers pre-surgery, surgery, and post-surgery care, incentivizing efficiency.

8. Utilize Data Analytics:

- **Predictive Analytics:** Use predictive analytics to forecast patient demand and optimize cabin utilization.
- **Performance Metrics:** Regularly monitor performance metrics to identify areas for improvement and implement changes promptly.

By implementing these strategies, Heartcare Hospital Ltd can optimize the pattern of stay, increase the turnover rate of cabins, and ultimately generate more revenue per cabin while maintaining high-quality patient care.

Answer to the Question# 3(b):

Here's a summarized Business Model Canvas for Cholo Ltd.:

Business Model Canvas for Cholo Ltd.

1. Key Partners:

- Vehicle leasing companies
- Banks and payment processors
- Insurance providers
- Local regulators
- Technology partners
- Corporate clients (Cholo for Business)
- Delivery service partners (Cholo Eats)

2. Key Activities:

- Platform management
- Matching riders with drivers
- Pricing optimization (dynamic pricing)

- Driver recruitment and retention
- Customer support
- Continuous technology innovation

3. Key Resources:

- Technology infrastructure (mobile app, real-time tracking)
- Brand reputation
- Data insights
- Human resources (technical staff, support staff)
- Driver-partner network

4. Value Propositions:

- For Riders:
    - Convenience and on-demand transportation
    - Affordability and multiple ride options
    - Safety and cashless transactions
    - Personalized customer experiences
- For Drivers:
    - Flexible income opportunities
    - Low entry barriers
    - Simple and user-friendly platform

5. Customer Relationships:

- Tailored services
- Ratings and feedback systems
- Loyalty programs
- Digital marketing engagement
- Corporate partnerships

6. Channels:

- Mobile app
- Digital marketing (social media, email campaigns)
- Corporate partnerships
- Online marketplaces for services (Cholo Eats)

7. Customer Segments:

- Individual riders (budget-conscious, convenience seekers)
- Corporate clients (Cholo for Business)
- Driver-partners (independent, flexible work seekers)

8. Cost Structure:

- Driver incentives and commissions
- Technology development and maintenance
- Marketing and advertising
- Legal compliance and regulatory costs
- Customer support and operations

9. Revenue Streams:

- Commission-based ride fares
- Surge pricing
- Corporate partnerships (Cholo for Business)
- Delivery service fees (Cholo Eats)
- Additional services and features (e.g., insurance, vehicle leasing)

This Business Model Canvas highlights the essential elements of Cholo Ltd.'s business strategy, emphasizing its focus on convenience, affordability, and innovation to maintain its leadership in the ridesharing and logistics market in Bangladesh.

Answer to the Question# 4(a)(i):

Dividend Irrelevance Theory

The Dividend Irrelevance Theory, proposed by economists Merton Miller and Franco Modigliani, suggests that a company's dividend policy does not affect the value of the company or its stock price. According to this theory, investors can create their own "homemade dividends" by selling a portion of their shares if they need

cash. In this context, the value of the company is determined by its investment and growth opportunities, not by whether it pays dividends.

In Mr. Hasan's Situation:

- Company's Decision: Robin Tex did not declare a dividend for the year but plans to invest in capital projects to increase capacity. This decision aligns with the Dividend Irrelevance Theory, suggesting that reinvesting profits can potentially lead to higher growth and increased stock value in the long run.
- Stock Price Stability: Despite no dividends, the stock price remained at BDT 400, indicating that the company's value was not negatively impacted by the absence of a dividend payout.

Answer to the Question# 4(a)(ii):

Creating a Homemade Dividend: Mr. Hasan can generate his own cash flow by selling a portion of his shares. To calculate how many shares he needs to sell to generate the equivalent of a BDT 4,000 dividend:

1. Determine the Cash Requirement:
   - Mr. Hasan wants BDT 4,000.
2. Current Share Price:
   - BDT 400 per share.
3. Calculate Number of Shares to Sell:
   - Number of Shares to Sell= $\frac{\text{Cash Requirement}}{\text{Current Share Price}}$
   - Number of Shares to Sell $\frac{4000}{400} = 10$

Therefore, Mr. Hasan needs to sell 10 shares of Robin Tex to generate a homemade dividend of BDT 4,000. By selling 10 shares, Mr. Hasan can achieve the cash flow he desires without relying on the company's dividend policy. This aligns with the Dividend Irrelevance Theory, demonstrating that investors can manage their own cash needs through strategic share sales.

Answer to the Question# 4(b)(i):

Features that make Sukuk Bonds attractive as investment vehicles

Sukuk bonds offer several key features that make them an attractive investment option for both religious and non-religious investors. These features include:

1. **Sharia compliance**:
   Sukuk bonds are sharia-compliant, meaning they follow Islamic principles, prohibiting interest (riba) and investments in prohibited sectors (e.g., alcohol, gambling, etc.). This makes them appealing to investors who want to align their investments with ethical or religious values.
2. **Asset-backed nature**:
   Sukuk bonds are asset-backed, meaning they derive value from tangible physical assets or projects. This reduces the default risk compared to conventional bonds, which are purely debt instruments. The asset-backed nature provides security to the investors, as the underlying asset can be liquidated in case of default.
3. **Lower default risk**:
   The asset-backed nature and periodic rental or profit-sharing payments ensure that Sukuk bonds have a lower default risk than conventional bonds. In conventional bonds, interest payments are fixed, and there is a higher risk in case of financial distress. Sukuk bonds, by contrast, provide periodic returns from the income generated by underlying assets.
4. **Periodic income**:
   Sukuk bonds offer reliable income streams through periodic rental payments or profit-sharing returns. These payments are often seen as more predictable than the interest payments of conventional bonds, as they are linked to the performance or rental income of the underlying assets.
5. **Ethical and socially responsible investment**:
   Sukuk bonds are often linked to socially responsible projects, such as infrastructure development, renewable energy, or community welfare projects. This ethical appeal attracts socially conscious investors, including those looking to contribute positively to society while earning a return.
6. **Diversification opportunities**:

Sukuk bonds offer diversification for investors, especially in emerging markets where the bond market may be less developed or dominated by conventional debt instruments. They provide exposure to sectors and geographies where traditional fixed-income products might not be available.

7. **Competitive returns in low-interest environments**:
   In a low-interest-rate environment, Sukuk bonds can offer competitive returns compared to conventional bonds, especially when they are linked to productive and income-generating assets. This makes them attractive for investors seeking stable returns with lower risk.

Answer to the Question# 4(b)(ii):

Optimum pricing for the sukuk issue

To determine the optimum pricing for the Sukuk bond issue, we can calculate the present value of the future cash flows that an investor will receive from the bond, using the given discount rate. The key cash flow in this case is the annual lease payment of BDT 160 for 5 years.

We will use the formula for the present value of an annuity (since the payments are equal and periodic):

Present Value of Sukuk, PV = Annual lease payment (A) × PVAF
PV = 160×4.33
= BDT 692.8

Thus, the optimum price of the Sukuk bond is approximately BDT 692.8.

This is the price at which the bond should be issued to offer the expected returns based on the 5% discount rate.

The Dealer Company- recognition of acquisition cost:

The dealer company must recognize the amount *at cost* incurred to acquire those bonds that is 1000*1000 = 1,000,000 at statement of financial position as asset. As no market value exists at year end, it has no other way to recognize the amount. So cost amount would be recognized as asset at year end.

Answer to the Question# 5(a)(i):

An intangible asset is an identifiable non-monetary asset without physical substance. The enterprise must have the ability to control the asset to obtain economic benefit from it. Examples include brand names, software, licenses, franchises, copyrights, patents, customer lists, quotas, etc.…

Recognition - An intangible asset should be recognized if:

- It is probable that economic benefits associated with the asset will flow to the entity.
- The cost / value of the asset can be measured reliably

If these criteria are not met, the relevant expenditure should be expensed. It is prohibited to reinstate any intangible asset originally charged to expenses.

Specific guidance for certain categories of intangible asset:

(1) Purchased separately If the asset was purchased separately, recognize it as an intangible at cost provided it meets the definition above. If the asset is acquired for free or nominal sum by way of government grant e.g. radio license, it may be recognized at fair value (under IAS 20 government grants). If this option is not taken, it must be recognized at cost including directly attributable expenditure.

(2) Purchased as part of a group of assets (e.g. takeover of a business) If purchased as part of a business, capitalize the asset at fair value if it can be reliably measured on initial recognition. If not, include with goodwill. The cost of assets acquired under an exchange is measured as the value of the asset given up in return.

(3) Internally generated Internally generated goodwill should never be recognized. Internally generated intangibles other than goodwill may not be recognized unless there is an active market in homogeneous assets allowing a fair value to be attributed to the asset. Most internally generated assets will not meet this rule.

One exception to the above rule is the issue of development costs (NOT research). These should be capitalized if the following criteria are met:

- Probable that product being developed will generate future economic benefits
- Intention to complete and use / sell
- Resources are available to complete project
- Ability to use / sell
- Technical feasibility of the product being developed
- Expenditure can be measured reliably.

Computer software should generally be capitalized at cost, but operating systems should be included with the hardware cost within PPE, not within intangibles.

Any expenditure initially written off as an expense may not be retrospectively capitalized under any circumstances. However, an intangible asset written off due to changes in circumstances may be reinstated if those circumstances reverse.

Amortization of intangible assets If intangibles are considered to have an indefinite useful economic life (UEL), they should not be amortized. If this is the case, an annual impairment review is required.

If UEL is not indefinite, amortize over the UEL using a method which best reflects the pattern of consumption of economic benefits. This period should be reviewed at least annually.

The amortization charged should be expensed to profit or loss unless required to be capitalized by another standard.

Revaluation of intangibles may be revalued only if a market value is available. This means an active market exists in identical assets with public prices available.

The entity may choose to adopt the cost model under IAS 38, therefore never revaluing assets.

Treatment of revaluation gains and losses is like that of tangible non-current assets under IAS 16

Answer to the Question# 5(a)(ii):

(i) As the license was acquired individually, it is capitalized at its cost. The license should be depreciated over its useful economic life, here 6 years. Revaluation is unlikely to be permitted as each license is likely to be unique. An active market in identical assets cannot exist for unique assets. Amortization amount: BDT3.3 million / 6 years = BDT 0.55 million per annum.

(ii) This intangible asset was partly purchased, and partly internally generated through enhancement expenditure. The asset purchased should be capitalized at cost. This was BDT2 million. And further development costs should be capitalized only if they meet the IAS 38 criteria for capitalization. These criteria were met as the directors were confident of the potential of the technology since their original purchase. Hence, the BDT6 million spent developing the technology should be capitalized. The BDT2 million spent researching the international market may not be capitalized and should be written off to profit or loss. The BDT15 million offer may not be recognized unless it is accepted. Revaluation of intangibles is only permitted by reference to an active market in identical assets. This asset is unique, hence whilst it may be valuable, it cannot be verified by reference to an active market. Therefore, no revaluation is permitted.

(iii) The brand name is internally generated. Hence it may not be recognized unless it meets the IAS 38 criteria for recognizing development projects as intangible assets. Brand names do not meet these criteria for several reasons:

(1) They do not constitute development costs.

(2) The expenditure to create the asset is not easily separable;

(3) It is not possible to demonstrate any certainty over the future economic benefit to be generated. Hence, the brand should not be capitalized.

(iv) No revaluation is permitted, as no active market exists for identical patents. By definition, patents are unique and cannot have identical market matches. The portfolio should be carried at cost less accumulated amortization. Amortization should be charged for year ended 30 June 2023 at 1/7 of BDT2.8 million, or

BDT0.4 million. This should be taken to profit or loss unless it qualifies to be capitalized as part of a development project.

Answer to the Question# 5(b):

- **Integrity**
  A non-executive director should be straightforward and honest in all professional and business relationships.
- **Objectivity**
  A non-executive director must not compromise professional or business judgment because of bias, conflict of interest or the undue influence of others. professional competence and due care. A non-executive director must maintain professional knowledge and skill (in practice, legislation, and techniques) to ensure that a client or employer receives competent professional service.
- **Confidentiality**
  A non-executive director must not disclose confidential professional or business information or use it to his/her personal advantage, unless you have explicit permission to disclose it, or a legal or professional right or duty to disclose it.
- **Professional behavior.**
  A non-executive director must comply with relevant laws and regulations and avoid any action that may bring disrepute to the profession.

Answer to the Question# 5(c):

a) Company values
Company values are the principles and standards of behavior that a company is built upon. The values written therein may include integrity, constructive criticism, honesty etc. This is very important since this section is also transcribed even on the company's profile, and it is also a measure as to how the principle is the business are adhered to.

b) Compliance laws
This component spells that an organization should be thoroughly compliant to the laws of the business environment to which it operates. The laws to be complied with may range from legislative laws such as the Companies Act to sectorial laws that may be imposed by regulatory organizations such as financial reporting organizations.

c) Maintenance of confidentiality
Confidentiality is the state of keeping secrets private. This clause is meant to prevent industrial espionage and the trading of company's secrets by members of the organization. This clause extends liability to anyone who may be responsible for leaking company's secrets. This component may, however, be bypassed without any consequences in times of whistle blowing where someone leaks private information for the benefit of the public who might have been harmed if such information was not leaked or disclosed.

d) Accuracy of disclosures
This component is there to ensure that there is accurate and timely disclosure in reports and documents that the company files before government agencies as well as other communications to the general public and other users of information. This section is pinned down by the compliance clause mentioned above.

e) No authority waiver clause
This is perhaps the most important of these components. It ensures that the companies' procedures and requirements in making decisions are never bypassed when decisions are made in the business. This is very important so that no individual(s) abuse power any how as to how the decisions of the business are determined and set.

Answer to the Question# 6(a):

Auditors will take audit evidence from wherever they can get it. If the auditor becomes aware that a client company is the subject of a protected disclosure this is certainly a matter of interest to him or her. As an aside, the auditor may well question what it is about the company that has put the employee into a position of feeling that he or she needs the protection of the whistleblower legislation in order to make disclosure. Does it, for example, suggest that there is a culture of bullying within the company or at least a culture of not valuing employees or making them feel that their voice is not heard? Does it reflect poorly on the integrity of management?

That aside, the auditor will need to consider the impact the disclosure could potentially have on the financial statements. for example, a disclosure might suggest that the company could possibly have an unrecorded liability because, for example, it might be subject to claims against it by individuals or entities who may feel aggrieved by the actions of the company and who may have some legal redress. Similarly, it might find itself exposed to fines or penalties for breaches of laws or regulations. In an extreme case, it might even have implications for the going concern status of the company. This might arise in a situation in which the accusation was so serious that it might suggest the possibility of the company's license to operate being withdrawn.

As with any other piece of evidence, however, the auditor will also need to try to assess the credibility of what the whistleblower is saying. The auditor should not be too quick to dismiss the credibility of the accusations. Companies will often "circle the wagons" when faced with a whistleblower and, in some cases, this leads them to not addressing the problem which then accumulates and becomes harder to solve later. It is of course true that the accusations of whistleblowers may be mistaken, vexatious or even malicious. However as skeptical as the company may be about the whistleblowers claims the auditor needs to be equally skeptical about the management responses to them.

The auditor should also consider any efforts made by the whistleblower to bring the problem to the attention of the company prior to raising the matter under the whistleblower legislation. for example, with whom were the allegations first raised? Was any action taken at that time and, if so, how did the problem persist or recur? The more specific and detailed the whistleblowers accusations are the more likely it is that they have some credibility. fortunately, in that case, it should also be easier to confirm or contradict the allegations of the whistleblower. As in every other case, the auditor should look for corroborative or contradictory evidence any place that it might be expected to be found.

The status of the complainant within the company should also be considered. for example, if the complainant is a former senior member of management, then it is credible that they would have detailed information about how the company operates and about, for example, its finances. In short, the auditor needs to examine every aspect of the situation which led to the episode of whistleblowing and conclude on its credibility. This is obviously very difficult to do, and the auditor must proceed with caution. because of the sensitivities involved it may be appropriate for the auditor to seek the advice of his or her professional body and legal advice.

Answer to the Question# 6(b):

The first point to be made is that as audit manager you should take the claims seriously. The claim is reasonably specific and, on the face of it, very worrying. If there is any truth in the claim it means that the company may have potentially exposed customers to the risk of fire, electric shock, or even electrocution. It may also have put its own employees at risk. There is little doubt that if any of this is true then customers could have a claim against the company. As well as that the negative publicity that would follow from such a claim could be extremely serious for the company. Therefore, as auditors it is imperative that we satisfy ourselves as to the veracity of the claims, or otherwise.

It is certainly the case that the company management are fully denying the claims. The company has commissioned employees who are experts in this area to write a report which denies the claims. However, it is perhaps significant that there has been to date no external examination of the claims by any independent third party. As auditors we need to make our own investigation and come to our own conclusion.

We should therefore proceed as follows:

1. Interview the CEO or a member of senior management with a view to discovering how to claim came about in the first place. for example, we should enquire as to whether the complainant is a current

employee or has, he or she now left the company. If the complainant is still employed (and if the complaint was not made anonymously) we should consider talking to them directly. This will be more problematic if the employee has already left the company. We should enquire what happened before the claim was made under the protected disclosure legislation. for example, had the complainant previously made a complaint within the company which they felt was ignored.

2. Review any information available about sales of the product in question. If it is one of the companies most popular products, then there should be many continuing and ongoing sales of the product. examine the correspondence from buyers of the product to see if there is any information available about sales of the particular product in question. examine the correspondence from buyers of the product to see if there is any complaints being made by them about the performance of the product or any instances being noted of any unusual occurrences. Also have a look at the extent of returns of the products and examine any refunds that may have been given in relation to purchases of the product.

3. With the permission of the company, contact the legal advisers of the company and enquire specifically if there had been any claims or any threats of any claims in relation to incidents concerning this product. This query could form part of the normal enquiries that are usually made with company's legal advisers during an audit, but the question should be raised specifically in this case.

4. Read the report of the company's technical expert and note if they have, for example, mentioned any change in the materials that are used to manufacture this particular product or any change in the manufacturing process that might have led to such problems as the whistleblower has suggested.

5. If the company is in some way subject to inspection by some statutory or regulatory authority, then obtain the reports from that body and read them carefully to see if there is any mention of any problems with this product. obviously if there is any mention of any such problem the matter should be followed up with extreme diligence.

6. Consider the possibility of instigating an independent investigation by an auditor's expert into the matter. This would be likely to be resisted by the company and would be expensive and so it is a step that should not be undertaken lightly. However, in this situation if there is any evidence whatsoever to support what the whistleblower is saying then this should certainly be considered. In conclusion, this will ultimately be a matter of exercising professional judgment and professional skepticism in the light of the facts that our enquiries reveal. The whistleblower's claims could turn out to be entirely without foundation or they could turn out to be of fundamental importance for the future of the company.

---The End---